HEDGE / NYC | ISSUE 01 / NOVEMBER 2026

Every business is exposed. Not every risk is hedgeable.

NYC small-business origination, event-contract market fit, and a qualified pilot roadmap. An independent work sample prepared for a hedging business-development role.

47	33	14
Distinct identified NYC businesses	Company-website evidence records	Directory-discovery records to verify

THE DECISION FRAMEWORK

EXPOSURE: Find the owner-defined contribution-margin shock.

SETTLEMENT: Match the operational trigger to a real public event contract, including its measurement site, reference series, timing and rules.

EXECUTION: Check cost, risk of total premium loss, basis mismatch, liquidity, and competing physical/insurance mitigants.

Research boundary. No identified business was contacted or interviewed. Public operating evidence does not prove financial losses, willingness to trade, Kalshi customer status, or product suitability. Numerical financial cases are hypothetical. No live order book or executable quote has been verified.

01 / EXECUTIVE ASSESSMENT

Promising origination. Uneven hedge fit.

Business	Cash-flow hypothesis	Decision
Brooklyn Sail	Weather cancels voyages; rain proxy may not align with cancellations	HOLD
Xentra Transport	Fixed delivery terms may leave fuel inflation unpassed	QUALIFY
Arborpolitan	Storms disrupt routine work but can increase emergency revenue	NO HEDGE

A useful negative control

Foods of NY Tours says its walking-food tours generally proceed rain or shine, and Like A Local Tours similarly states that its tours run in ordinary rain or snow. That public evidence argues against pitching all outdoor tourism operators an any-rain hedge. The value is in distinguishing disruption triggers, not in maximizing the list of contracts shown.

An event is not an economic hedge

A binary payout is capped at $1 per winning contract. Businesses suffer continuous, location-specific, non-binary costs. A rain contract may settle YES with no business cancellation and NO during a high-wind cancellation. A national diesel index may diverge materially from a local operator's gasoline/diesel purchases.

Financial example illustrates the gap

A hypothetical $550 charter with 40% avoidable costs leaves $330 in lost contribution margin if the sale is permanently lost. A hypothetical 250 YES contracts at 43 cents each cost $107.50 plus $4.29 general modeled fee. Net payout is +$138.21 if YES or -$111.79 if NO. In the illustrative four-state distribution, the hedge has a negative expected incremental outcome of $24.29. This is not a live quote or a company-specific forecast.

Evidence: Brooklyn Sail policy | Foods of NY FAQ | Like A Local FAQ

02 / BUSINESS CASE

Brooklyn Sail: bad weather is not the same as any rain.

What is actually documented

The public sailing policy describes weather-related cancellations, refunds and rescheduling. Advertised private sail prices are a reference for gross ticket size, not owner financials. The exact economic shock depends on nonrefunded costs, rescheduling and lost contribution margin.

What a documented market could settle

A Kalshi market for any measurable weekend NYC rain was located for November 7-8, 2026. Its station-specific measured precipitation can differ from safety-based sailing decisions. This is a **dated public market discovery**, not a verified live executable quote.

Illustrative unit economics

$550 example revenue x 60% hypothetical retained contribution margin = $330 loss from one permanently canceled charter. The 40% avoidable cost is analyst-only. With 250 YES contracts at $0.43, the generic fee model gives $4.29 fee, $111.79 premium + fee, $138.21 if contract YES, and negative $111.79 if contract NO.

Four joint states matter

In the illustrative sample: cancellation + YES 12%; cancellation + NO 8%; no cancellation + YES 23%; no cancellation + NO 57%. This is a deliberately invented illustration of imperfect co-movement, not measured weather frequency. The second state is a business loss without a hedge payout.

Analyst decision: HOLD

Do not frame any-rain contracts as cancellation protection until actual charter losses are compared with exact settlement rules and execution costs. A wind-triggered independent market concept might better align, but is only hypothetical and must pass a product-compliance/liquidity review.

Primary: https://www.bksail.com/details; https://www.bksail.com/pricing; market: https://kalshi.com/markets/kxrainwknd/where-will-it-rain-this-weekend/kxrainwknd-26nov07

03 / BUSINESS CASE

Xentra Transport: fuel costs need a matched index.

What is documented

Xentra publishes transportation services across different vehicle categories and advertises a no-fuel-surcharge policy. This may create margin exposure to pump prices where jobs cannot be repriced, but fleet gallons, vehicle fuel mix and pass-through capacity remain unknown.

Illustrative loss mechanism

Assume 1,200 gallons purchased over a month, a $0.40/gallon price shock and no recovery through customer charges. Incremental fuel spend is $480. None of these quantities is a verified Xentra financial input.

Why index selection matters

A documented November 9, 2026 weekly Kalshi diesel price market refers to a specified nationwide AAA diesel series and threshold. That may not track New York pump prices, gasoline purchases, week-to-week fuel volume, or historical fuel card pricing. EIA East Coast diesel observations are useful context but NOT the identical settlement series.

Analyst decision: QUALIFY FIRST

Ask for diesel versus gasoline gallons by fleet type, contract repricing cycle, actual cost exposure, fuel surcharge feasibility and permitted monthly risk budget. Do not offer an illustrative threshold as tailored protection or propose a trade before contract rules and liquidity checks.

Five owner questions

(1) How many diesel gallons versus gas gallons? (2) What is the fuel cost per job? (3) Can you add a surcharge or adjust price? (4) How long are contracts fixed? (5) What is a bad weekly/monthly margin impact?

Primary: https://www.xentratransport.com/; documented market: https://kalshi.com/markets/kxdieselw/diesel-prices-this-week/kxdieselw-26nov09; context: https://www.eia.gov/petroleum/gasdiesel/

04 / BUSINESS CASE

Arborpolitan: storms can hurt and help.

What is documented

Arborpolitan provides tree-care services and post-storm response. Heavy weather may interrupt routine scheduled maintenance while also stimulating emergency work. Both channels have margins, costs and timing. A one-sided lost-booking model would mischaracterize the exposure.

Countervailing illustrated cash flows

One hypothetical storm costs $1,000 of scheduled-job contribution margin but generates $1,400 of incremental emergency contribution margin. Net result is +$400. If emergency contribution is only $500, net storm impact is a $500 loss. These are demonstration-only figures with no company input or historical fit.

Why no trade is recommended

There is no verified directly matching public contract in this research that covers the net business exposure. Until the owner's job-mix profitability and cost timing are known, storm-linked contract hedging can unintentionally offset a naturally profitable event outcome.

Analyst decision: PASS FOR NOW

Qualify net storm contribution margin before suggesting a financial contract. Ask about scheduled backlog, storm dispatch overtime, capacity, insured costs and delayed collections. The proper hedge direction could even reverse depending on job mix.

Primary: https://arborpolitan.com/tree-care; secondary: https://arborpolitan.com/

05 / MARKET DESIGN AND GO-TO-MARKET

Build demand evidence before proposing contracts.

A. High-wind NYC weekend trigger

Consider independently measured station wind gusts for charters and outdoor operators, provided station choice, safety threshold, timezone, revisions and settlement ambiguity can be resolved. Marine winds are geographically specific. No listed product is claimed.

B. Extreme rain during operating hours

A station-based one-inch threshold might align with severe disruption better than any-rain. But local flooding can occur far from the settlement station. Measure mismatch before writing a market request.

C. Regional diesel reference

A contract settling on a transparent EIA regional price could be closer to fleet costs than a nationwide AAA threshold. A one-dollar binary payoff still does not perfectly track gallons and pump margins. This is a research concept, not an available market.

30 / 60 / 90-day suggested roadmap

First 30: validate 12 source-backed businesses and prepare owner discovery; next 30: request up to five voluntary interviews and quantify actual cash-flow triggers if owners consent; final 30: perform contract settlement/price/liquidity checks and deliver responsible pilot-or-pass recommendations. No interviews have taken place.

What success would look like

Not simply meeting count or theoretical hedge value. Track owner-verified exposure, match of observed loss events to contract settlement, affordable market depth, transparent premium downside, and count of decisions to pass when hedging is not useful.

References: Kalshi hedging | Kalshi public API | General fee schedule | NYC rain context

BUNDLE NOTE: Complete CSV/JSON universe, original-source register, formula-driven Excel model, editable four-state simulator methodology and developer specification accompany this report.